

3.3.5 Government Intervention in the Market

Market Failure and Government Failure

Candidates will be expected to extend and develop the models of market failure introduced in Module 1. For example, they will be expected to be able to distinguish clearly between pure public goods and non-pure (or quasi) public goods and explain how technical change can lead to markets efficiently providing goods previously regarded as non-excludable and non-rival.

Candidates should display greater understanding of how imperfect information may lead to market failure and be able to evaluate the extent to which an unequal distribution of income and wealth is the result of market failure.

Candidates should also be able to discuss the causes of environmental market failure and the impact of environmental change on economic behaviour. They should be able to assess the consequences of the variety of government policies that are used to deal with market failure. These policies should include extending property rights. Candidates should also be able to evaluate sources of government failure including the possibility of regulatory capture.

Competition Policy

Candidates should know the general features of UK and EU competition policy. They should be able to evaluate the costs and benefits of such policies. Examples of real world applications of such policies should provide contexts in which candidates can evaluate the use of economic models to explore economic behaviour and further develop their appreciation of the behaviour of firms in concentrated markets.

Public Ownership, Privatisation, Regulation and De-regulation of Markets

Candidates should understand the arguments relating to such policies, be aware of their application in the United Kingdom, and be able to assess their effects on economic performance. They should also understand competitive tendering, the possibility of creating internal markets for the provision of public sector services such as education and health care, and public private partnerships (PPPs).

Notions of Equity

Candidates should understand the difference between equity and equality. They should recognise that people hold different views concerning what is fair and that these views will influence policy prescriptions. They should be able to distinguish between horizontal and vertical equity.

The Problem of Poverty

Candidates should understand the difference between relative and absolute poverty. They should be able to discuss the causes and effects of poverty.

Government Policies to Alleviate Poverty and to Influence the Distribution of Income and Wealth

Knowledge of the policies which are available to influence the distribution of income and wealth is required. Candidates should be able to discuss the economic consequences of such policies and be able to evaluate the various approaches to alleviating poverty.

Cost Benefit Analysis

Candidates should be able to understand the principles of cost benefit analysis and evaluate the advantages and disadvantages of using cost benefit analysis. They should realise that while, in principle, cost benefit analysis can be used for measuring the costs and benefits of a wide range of economic decisions, in practice there are often considerable difficulties in placing accurate monetary values on costs and benefits.

*Note: candidates are **not** expected to have a detailed knowledge of techniques such as discounting and shadow pricing, but they should understand that money in the future is worth less than money now and that prices have to be put on economic activities where there is no market price. Candidates are expected to relate cost benefit analysis to the problems caused by externalities and to market failure and government failure.*